

And what are you going to say in your defense? And to whom? Fighting with tax officials is usually a losing battle. They often seize your assets first. Then you have the burden of proof, proving a negative, which is very heavy.

In the case of residence issues, you typically argue that you are not a resident of one country by proving that you are a resident of another. Not easy to do when you travel frequently. So what you want to do is to establish “permanent” residency somewhere, whether or not you actually ever live there.

Permanent residency gives you a plausible answer to the question about where you live. And it gives you a hub—in a legal or tax sense—around which your financial life can be organized. It is usually established by actual, physical residence, but it can later become rather abstract. The key is to fix a place where you keep a house, keep your records, pay your taxes, buy a burial plot, bank, have a passport, vote, be a member of churches and local organizations—all the things that residents normally do. Your physical whereabouts hardly matter if you move about and you’ve built your permanent residency correctly.

Naturally, the best place to be a permanent resident of is a place where you would plausibly be a real resident, where you are able to build the kind of connections you need and where tax rates are low. This, of course, depends on many different considerations. Family wealth is often low-income wealth, for example. You favor assets or organize your financial life so that you don’t have much taxable income. So even if a place has high income tax rates, it may still be a nice place to live. And if you have your family wealth in a trust, inheritance taxes may not matter either.

It is a matter that requires careful planning. For most people, however, this kind of planning is impossible. Life goes on. It won’t wait or conform readily to these considerations. You develop businesses, relationships, residences, careers, and so forth faster than you can plan for them. And since you don’t usually know where you’re going in life, it’s impossible to plan for the future anyway—at least at this level.

But keep in mind that a family needs a permanent home. (We’ll talk more about this later.) That permanent home should be in the “right” place. A place where it is safe, stable, and plausible.